

below average, given that the BCI is on a scale of 100, and could indicate severe stress for businesses. To put things in perspective, the BCI has registered a reading of less than 50 many times in the past, including a prolonged period from Q4FY19 to Q3FY22. But the current reading comes at a time when there is sobering data all around. In April, the International Monetary Fund trimmed the global growth forecast for 2025 to 2.8% and 3% for 2026. It also cut India's GDP growth forecast to 6.2% this fiscal from its previous estimate of 6.5%.

The Reserve Bank of India (RBI) has revised India's FY26 GDP growth forecast to 6.5% from 6.7% earlier. The finance ministry, in its monthly economic review, has noted that overall, the outlook for the Indian economy appears positive. But it has warned that uncertainties stemming from global developments constitute a key risk for the growth outlook for FY26 and has cautioned that the perception of prolonged uncertainty may cause the private sector to put capex plans on hold.

THE IMF CUT THE GLOBAL GROWTH FORECAST FOR 2026 TO 3%

This is already evident in the inaugural capex survey undertaken by the government that revealed a 25.5% dip in planned capex by firms from ₹6.56 lakh crore in FY25 to ₹4.88 lakh crore in FY26.

In fact, 65% of the businesses surveyed as part of the BCI are not planning to make any capital investments in the first half of this fiscal despite two rate cuts by the RBI.

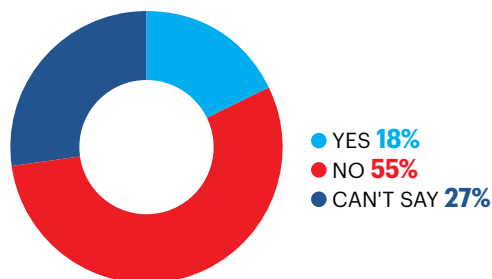
"Given the heightened uncertainty around trade policies and the associated disruption in trade and sentiment, the outlook for merchandise, as well as IT exports and private capex, especially in export-oriented sectors, appears muted. In ICRA's view, the relative tariff scenario is going to continue to evolve as the year progresses," notes Aditi Nayar, Chief Economist and Head of Research & Outreach at rating agency ICRA Ltd. The agency estimated GDP growth to ease to 6.2% in FY26 from 6.3% in FY25.

Not surprisingly then, Indian businesses across sizes and sectors have reported a drop in business

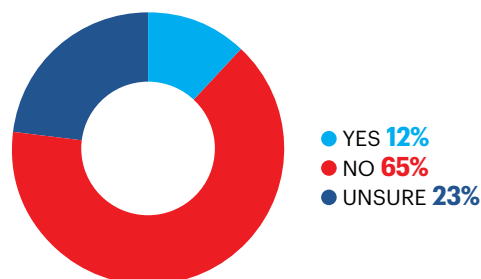
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MAKING SENSE OF THE UPHEAVAL

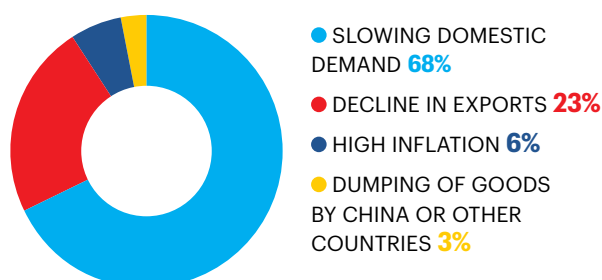
Do you expect your business to be impacted by the recent tariffs announced by the US?



With RBI cutting rates, do you plan to make capital investments in the first half of FY26?



What is your primary concern for this quarter?



Do you want India to have strong safeguards in proposed trade agreements to protect your business?

